

The trap most investors hit at the **third property** .

Three reasonable assets. One wrong sequence. And the bank says: not at this time.

01 · THE ANCHOR

Your pre-12 May 2026 property.

- ▶ Grandfathered on negative gearing. Permanently.
- ▶ Pre-2027 gains keep the 50% discount.
- ▶ Carrying a tax treatment no new purchase can replicate.
- ▶ Sequencing rule: do not sell it.

02 · THE MIDDLE RUN

Purchases two and three. Where the sequence problem lives.

- ▶ New tax conditions. No annual offset against salary.
- ▶ The shortfall is the shortfall, every month.
- ▶ The cashflow profile of P2 determines whether P3 is reachable.

03 · THE CAPACITY GATE

The point where the bank says you're done.

- ▶ Not a policy. Not a rule.
- ▶ Total debt, annual carry, serviceability — combined.
- ▶ Wrong sequence brings the gate forward by years.

04 · THREE SOURCES OF GIVE

All being tightened in the same window.

- ▶ Annual negative gearing offset against salary — gone for new established.
- ▶ Marginal-rate flexibility at disposal — capped by the 30% floor.
- ▶ Debt-to-income ceiling — six times gross, formalised by Apra.

05 · SAM AT THE CHOICE POINT

Two options. Roughly the same price. Different futures.

- ▶ Option A: established asset, \$800k, around 3% yield.
- ▶ Option B: qualifying new build, \$750k, around 4% yield.
- ▶ Monthly carry gap: roughly \$1,200.
- ▶ That gap decides whether Sam ever reaches property four.

TAKEAWAY

Yield is a sequencing variable now.

- ▶ The right move under the old rules is no longer the right move under yours.
- ▶ Each disposal decision becomes a modelled decision.
- ▶ Read this week's Property Notes for the side-by-side math.